Union Pacific: what the risk factors added, and what they understate

Bottom line. UNP rewrote its Risk Factors more than all but one of 25 companies, almost entirely to describe one event: its proposed acquisition of Norfolk Southern. The filing understates who bears the regulatory risk, and tariffs are the one new risk already hurting results.

WHAT THEY ADDED

1. **Regulatory approval.**

> *"In January 2026, the STB announced its finding that the major merger application filed by the Company and Norfolk Southern was incomplete, as a result of which the STB rejected the application without prejudice."*
> Item 1A · UNP_latest_027 · severity 3

2. **Merger debt.**

> *"We expect to incur significant new indebtedness in connection with the mergers."*
> Item 1A · UNP_latest_040 · severity 2

No amount is given.

3. **Tariffs, added inside an otherwise unchanged paragraph on regulation.**

> *"Incremental import tariffs adversely affected demand for our services and increased our costs for purchased goods and services during fiscal year 2025 and may continue to do so in 2026."*
> Item 1A · UNP_latest_012 · sentence added this year

WHY IT MATTERS

- **The regulatory downside is one-sided.** Under the merger agreement (§7.3(b)(i)), UNP pays Norfolk Southern $2.5bn if regulators block the deal or impose conditions UNP won't accept. Item 1A spells out only the competing-offer case.
- **Leverage resets.** Borrowing most of the ~$20bn cash consideration would lift leverage well above today's level, and buybacks are already paused.
- **Tariff damage sits in the segments.** Group volumes rose 1%, but automotive shipments fell 4% for the year and international intermodal fell 24% in the second half.

QUESTIONS FOR MANAGEMENT

1. Given the $2.5bn fee, which conditions would you treat as "materially burdensome"?
2. How will the ~$20bn be funded, and what leverage do you target at close?
3. How much of the 2025 automotive and intermodal decline came from tariffs?

WHAT WOULD CHANGE MY VIEW

- Heavy remedy requests in the November 18 opposition filings.
- Financing that relies more on cash than on new debt.
- Tariff weakness spreading into group volumes in 2026.

Data note. Sources: UNP 10-Ks (2025, 2026), the merger agreement, SEC XBRL data, and 2026 10-Qs and STB decisions. The 20 new paragraphs describe one event, not 20 separate risks; full method in the project repository.

AT A GLANCE

Union Pacific (UNP)
Latest 10-K filed Feb 6, 2026
ChangeScore 0.196 (2nd of 25)
20 new risk paragraphs

KEY NUMBERS

$2.5bn
Regulatory termination fee
≈45% of 2025 FCF

2.48x → 3.1–3.7x
Net debt / EBITDA
standalone → pro forma

59.8%
Operating ratio UNP
CP 62.8% · CSX 67.9%

≈$85bn
Deal value
equity, recent price

+1.1%
Revenue growth 2025

DEAL TIMELINE

- **Jul 28, 2025**
  Merger agreement signed
- **Dec 19, 2025**
  STB application filed
- **Jan 16, 2026**
  Rejected as incomplete
- **Apr 30, 2026**†
  Revised application filed
- **May 28, 2026**†
  Accepted
- **Nov 18, 2026**†
  Opposition filings due
- **2027**
  Expected close (company estimate)

† from 2026 10-Qs / STB decisions